Ans. (b) According to the passage the most important message being conveyed is that the conservation efforts should emphasize on biogeography ranges rather than on some species or habitats.

15. With reference to the passage the following assumptions have been made

1. To maintain natural ecosystems, exploitation of natural resources should be completely avoided.
2. Not only anthropogenic but also natural reasons can adversely affect ecosystems.
3. Loss of endemic diversity leads to the extinction of ecosystems.

Which of the above assumption is/are correct?

(a) 1 and 2 (b) only 2
(c) 2 and 3 (d) 3 only

Ans. (b) In the passage, it has been argued that the Himalayan system is vulnerable to damage.

- Assumption 1 says that exploitation of natural resources should be completely avoided to maintain natural ecosystems. This is not a practical strategy. So it is incorrect.
- Assumption 3 is incorrect because the loss of endemic diversity leads to a change in the composition of flora and fauna of an ecosystem rather than complete extinction of the ecosystem.

Therefore, the correct assumption is 2 only.

Passage-2

It is often forgotten that globalization, is not only about policies on international economic relationships and transactions, but has equally to do with domestic policies of a nation. Policy changes necessitated by meeting the internationally set conditions (by WTO etc.) of free trade and investment flows obviously affect domestic producers and investors. But the basic philosophy underlying globalization emphasizes absolute freedom to markets to determine prices and production and distribution patterns, and view government interventions as processes that create distortions and bring in inefficiency. Thus public enterprises have to be privatized through disinvestments and sales; sectors and activities hitherto reserved for the public sector have to be opened to the private sector. This logic extends to the social services like education and health. Any restrictions on the adjustments in workforce by way of retrenchment of workers should also be removed and exit should be made easier by removing any restrictions on closures. Employment and wages should be governed by free play of market forces, any measure to regulate them can discourage investment and also create inefficiency in production Above all , in line with the overall philosophy of reduction in the role of the state, fiscal reforms should be undertaken to have generally low levels of taxation and government expenditure should be kept to the minimum to abide by the principle of fiscal prudence. All these are policy actions on the domestic front and are not directly related to the core items of the globalization agenda, namely free international flow of goods and finance.

16. According to the passage, under the globalization, government interventions are viewed as processes leading to

(a) distortions and inefficiency in the economy.
(b) optimum use of resources.
(c) more profitability to industries.
(d) free play of market forces with regard to the industries.

Ans. (a) According to the passage, the basic philosophy underlying globalization emphasizes absolute freedom to market to determine prices and production and distribution patterns, and view government intervention as process that create distortion and brings inefficiency in the economy.

17. According to the passage, the basic philosophy of globalization is to

(a) Give absolute freedom to producers to determine prices and production.
(b) Give freedom to producers to evolve distribution patterns.
(c) Give absolute freedom to markets to determine prices, production and employment.
(d) Give freedom to producers to import and export.

Ans. (c) According to the passage, the basic philosophy of globalization is to give absolute freedom to markets to determine prices, production and employment.

18. According to the passage, which of the following is/are necessary for ensuring globalization ?

1. Privatization of public enterprises
2. Expansionary policy of public expenditure
3. Free play of market forces to determine wages and employment
4. Privatization of social services like education and health.

Select the correct answer using the code given below

(a) 1 only
(b) 2 and 3 only
(c) 1, 3 and 4
(d) 2, 3 and 4

Ans. (c) According to the passage, basic philosophy underlying globalization emphasizes absolute freedom to markets to determines prices and production and distribution patterns, and also privatization of social services like education and health, thus option (c) is correct.

19. According to the passage, in the process of globalization the State should have/

(a) expanding role
(b) reducing role
(c) statutory role
(d) none of the above roles

Ans. (b) According to the passages, in the process of globalization the State shall have reducing role and fiscal reform should be undertaken to have generally low level of taxation.

Directions for the following 7 (seven) items :

Read the following two passages and answer the items that follow each passage. Your answers to these items should be based on the passages only.

Passage-1

Many nations now place their faith in capitalism and governments choose it as the strategy to create wealth for their people. The spectacular econ comic growth seen in Brazil, China and India after the liberalization of their economies is proof of its enormous potential and success. However, the global banking crisis and the economic recession have left many bewildered. The debates tend to focus on free market operations and forces, their efficiency and their ability for self correction. Issues of justice, Integrity and honesty and rarely elaborated to highlight the failure of the global banking system. The apologists of the system continue to justify the success of capitalism and argue that the recent crisis was a blip.

Their arguments betray an Ideological bias with the assumptions that an unregulated market is fair and competent, and the exercise of private greed will be in the larger pubic interest.

Few recognize the bidirectional relationship between capitalism and greed; that each reinforces the other. Surely, a more honest conceptualization of the conflicts of interest among the rich and powerful players who have benefited from the system, their biases the ideology is needed; the focus on the wealth creation should also highlight the resultant gross inequity.

20. The apologists of the 'Free Market System'', according to the passage, believe in

(a) Market without control by government authorities
(b) Market without protection by the government.
(c) Ability of market of self correct.
(d) Market for free goods and services.

Ans. (c) According to the apologists of the " Free Market System", the economic growth seen in Brazil, China and India after liberalisation justifies that unregulated market is fair and competent. They believe that a free market has a capacity for self-correction because of which such market, where private interest dominate, will be in the largest public interest.
Therefore, option (c) will correct.

21. With reference to ''ideological bias'', the passage implies that

(a) free market is fair but not competent.
(b) free market is not fair but competent
(c) free market is fair and competent.
(d) free market is neither fair nor biased.

Ans. (c) According to the passage, it is very clear that their arguments an ideological bias with the assumption that an unregulated market is fair and competent, thus option (c) is correct.

22. "The exercise of private greed will be in the larger public interest" from the passage .

1. refers to the false ideology of capitalism.
2. underlies the righteous claims of the free market.
3. shows the benevolent face of capitalism.
4. ignores resultant gross inequity.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 and 3
(c) 1 and 4 (d) 4 only

Ans. (c) According to the passage, the ideology of capitalism is that free market will ensure a just distribution of goods and services in the society, according to one's capability and capacity.
However, this ignores the inequality, exploitation and exclusion of the poor from the growth and development process.
Therefore, the ideology of capitalism is false. Also, the capitalist ideology ignores resultant gross inequity.
Hence, the correct answer is 1 and 4.

Passage-2

Net profits are only 2.2% of their total assets for central public undertakings, lower than for the private corporate sector. While the public sector or the State-led entrepreneurship played an important role in triggering India's industrialization, our evolving development needs, comparatively less-than-satisfactory performance of the public sector enterprises, the maturing of our private sector, a much larger social base now available for expanding entrepreneurship and the growing institutional capabilities to enforce competition policies would suggest that the time has come to review the role of public sector.

What should the portfolio composition of the government be ? It should not remain static all times. The airline industry work well as a purely private. Affair. At the opposite end, rural, roads, whose sparse traffic makes tolling unviable, have to be on the balance –sheet of the State. If the government did not own rural roads, they would not exist. Similarly, public health capital in our towns and cities will need to come from the public sector. Equally, preservation and improvement of forest cover will have to be a new priority for the public sector assets.

Take the example of steel. With near-zero tariffs, India is a globally competitive market for the metal. Indian firms export steel into the global market which demonstrates there is no gap in technology. Indian companies are buying up global steel companies, which shows there is no gap in capital availability, Under these conditions, private ownership works best.